



TOTAL KENYA LIMITED

Our Ref: G10.189.0002

15 November 2011

The Chief Executive
Capital Markets Authority
Reinsurance Plaza
NAIROBI

Advance copy by Fax
Original by recorded delivery

Dear Madam,

RE: TOTAL KENYA LIMITED'S RESULTS FOR THIRD QUARTER 2011

Reference is made to the above.

Following the end of the third quarter 2011, we enclose the Company's Income Statement, the Balance Sheet, Statement of cash flow, Statement of changes in equity and a brief comment from Management for the quarter ended 31st October, 2011 to be published in the press for your records.

Yours faithfully,
TOTAL KENYA LIMITED


Maurice K'Anjelo
CORPORATE AFFAIRS MANAGER

cc:

The Chief Executive Officer
Nairobi Securities Exchange
Nation Centre, 1st floor
NAIROBI

Encl.

TOTAL KENYA LTD		
STATEMENT OF FINANCIAL POSITION		
AS AT,	30 September 2011	31 December 2010
	KSh'000	KSh'000
ASSETS		
Non current assets		
Property plant and equipment	9,104,751	9,642,005
Deferred taxation	169,444	131,999
Goodwill	416,679	416,679
Other assets	38,524	70,417
Total non-current assets	9,729,398	10,261,100
Current assets		
Inventories	12,788,155	9,516,941
Accounts receivable and other assets	11,337,265	9,580,650
Cash and bank balances	1,826	874,673
Assets classified as held for sale	52,768	142,313
Total current assets	24,180,014	20,114,577
TOTAL ASSETS	33,909,412	30,375,677
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	4,774,771	4,774,771
Share premium	1,967,520	1,967,520
Revenue reserve	2,593,567	2,837,562
Shareholders' equity	9,335,858	9,579,853
Non Current Liabilities		
Medium Term Loan	2,749,500	3,276,000
Long term deposits	334,867	320,020
Total Non Current Liabilities	3,084,367	3,596,020
Current liabilities		
Medium Term Loan	702,000	702,000
Trade and other payables	7,467,102	10,600,429
Short term borrowings	13,320,085	5,897,375
Total current liabilities	21,489,187	17,199,804
TOTAL EQUITY AND LIABILITIES	33,909,412	30,375,677
STATEMENT OF COMPREHENSIVE INCOME		
FOR THE PERIOD ENDED	30 September 2011	30 September 2010
	KSh'000	KSh'000
Turnover	75,244,956	57,692,500
Indirect taxes	(9,836,417)	(11,134,932)
Net turnover	65,408,539	46,557,568
Cost of sales	(61,894,392)	(42,913,749)
Gross profit	3,514,147	3,643,819
Other income	459,696	237,701
Depreciation and amortisation	(800,399)	(693,674)
Operating expenses	(2,143,360)	(1,830,071)
Operating profit	1,030,084	1,357,775
Finance costs - net	(904,124)	(766,800)
Foreign currency exchange differences	68,625	(3,271)
Profit before taxation	194,585	587,704
Taxation	(125,110)	(239,107)
Net Profit	69,475	348,597

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TOTAL KENYA LTD		
STATEMENT OF CASH FLOWS		
AS AT	30-Sep-11	30-Sep-10
	KSh'000'	KSh'000'
CASH FLOW FROM OPERATING ACTIVITIES		
Cash (used in) / generated from operations	(6,074,543)	2,357,945
Taxation paid	(464,100)	(293,954)
Net cash from operating activities	(6,538,643)	2,063,991
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(300,615)	(602,879)
Proceeds on disposal of property, plant and equipment	287,795	18,506
Net cash used in investing activities	(12,820)	(584,373)
CASH FLOW FROM FINANCING ACTIVITIES		
Interest paid	(904,124)	(766,800)
Loan Repayment	(526,500)	(526,500)
Dividend paid	(313,470)	(298,543)
Net cash used in Financing Activities	(1,744,094)	(1,591,843)
Net decrease in cash and cash equivalents	(8,295,557)	(112,225)
CASH AND CASH EQUIVALENTS		
At 1 January	(5,022,702)	(8,672,941)
At end of period	(13,318,259)	(8,785,166)

TOTAL KENYA LTD				
STATEMENT OF CHANGES IN EQUITY				
FOR THE PERIOD ENDED 30 SEPTEMBER 2011				
	Share	Share	Revenue	Total
	Capital	Premium	Reserve	Equity
	KSh'000	KSh'000	KSh'000	KSh'000
As of 1 January 2010	4,774,771	1,967,520	2,219,900	8,962,191
Dividends declared			(298,543)	(298,543)
Profit for the year			348,597	348,597
As of 30 SEPTEMBER 2010	4,774,771	1,967,520	2,269,954	9,012,245
As of 1 January 2011	4,774,771	1,967,520	2,837,562	9,579,853
Dividends declared			(313,470)	(313,470)
Profit for the year			69,475	69,475
As of 30 SEPTEMBER 2011	4,774,771	1,967,520	2,593,567	9,335,858



COMMENTS FROM MANAGEMENT

The company's performance continue to be adversely affected by the current economic environment that has witnessed sharp increase in interest rates on bank borrowings, high inflation rate and depreciation of the Kenya Shilling against major world currencies. These add to unfavourable market conditions facing the oil industry in Kenya such as the impact of price controls that were introduced in December 2010, but whose formula has not been recognizing the deterioration of the macroeconomic environment. Inefficiencies in the fuel supply chain still remain, although commendable decisions were taken by the Ministry of Energy in the third quarter.

Sales volumes decreased by only 5% from 722 KMT in 2010 to 685 KMT in 2011 mainly due to reduced consumption of diesel for emergency power production. Excluding emergency power production, global sales have increased by 2%. It is worth noting that on the back of a growing Kenyan economy and thanks to Total Kenya's unique and recognized customer service, other channels like retail network, aviation, lubricants and bitumen have registered commendable levels of growth.

Net turnover increased by 40% despite the reduction in sales volume due to increase in product cost occasioned by the high international oil prices and impact of weakening Kenya Shilling. Cost of sales on the other hand went up by 44 % (higher than the increase in turnover) due to the impact of additional costs within the supply chain that were not passed on to the final consumer because of the price regulation mechanism, and to the lag effect between the rising international prices and the period when they are recognized in the formula. Consequently, gross profit dropped by 4 % compared to same period in 2010.

Finance costs increased by kes 137 (18%) million due to increase in average bank interest rates as compared to same period in 2010 coupled with increase in working capital requirements. Finance costs now represent 88% of operating income during the first nine months, compared to 56% in the same period in 2010.

Due to the reduction in gross margins and increase in finance costs, profit before tax decreased by 67 % to Kes 195 million (2010- Kes 588 million) while net profit for the period reached kes 69 million (kes 349 million in 2010). It is evident that were it not for the other income of kes 200 million arising from disposal of several company assets in compliance with the



conditions set by the Government before acquisition of Chevron business, the Company would have registered a loss in the first nine months.

On the balance sheet, the company's Working capital requirements increased by kes 7,252 million as compared to December 2010 hence the increase in short term borrowings of kes 7,423 million. The increase in working capital requirements is due to increase in international oil prices, devaluation of the Kenya shilling and lack of supply credit as product purchases are paid upfront as per OTS rules.

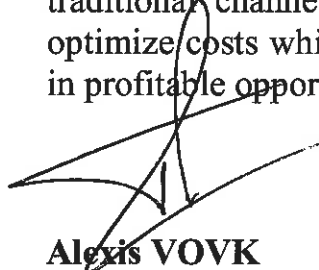
OUTLOOK

Contrary to popular belief, high international prices negatively affect the performance of oil marketing companies, mainly because of the resulting impact on working capital requirements. The outlook for international oil prices remains high and erratic, complicating projections of future supplies to the economy.

The operating environment has become very challenging with interest rates on bank loans and overdraft facilities reaching record high, compounded by the high inflation rate and the weakening of the Kenya shilling against major world currencies.

It is therefore essential that the price formula ought to recognize the impact of these macroeconomic factors, especially the cost of financing the working capital requirements and the inflation on costs, to allow for sustainable operations in the industry. We take note that the ERC has finally taken cognizance of financing costs in the last price review. This is a positive development that is encouraging, even if it fell short of the industry expectations

Nevertheless, in view of the deteriorating environment, the management will accelerate the already ongoing action plans to develop business in non traditional channels (e.g. diversification,), review customer portfolio and optimize costs while at the same time keeping its programme of investment in profitable opportunities that will bolster the company's performance.



Alexis VOVK
Managing Director